L&T Infotech

Result Update | **IT Services**

Growth momentum slows, long term demand intact

Equity Research Desk

20 April 2022

LTI reported a dismal Q4FY22 performance as revenue growth rate was lower than the last 6 quarter average and below our estimates while profitability was in-line with our estimates

- $ Revenue came in at $ 570 Mn, +3.1% qoq (+3.6% in cc terms) / +27.5% yoy and -1.4% below our estimates
- INR revenue came in at INR 43,016 Mn, +4% qoq / +31.6% yoy and in-line with our estimates
- EBITDA at INR 8,464 Mn, +1.8% qoq / +18.3% yoy and in-line with our estimates
- EBITDA Margins stood at 19.7% vs 20.1%/ 21.9% in Q3FY22 / Q4FY21 respectively and 10 bps above our estimates
- EBIT at INR 7,445 Mn, +0.3% qoq / +17.6% yoy and -1.8% bel our estimates
- EBIT margins of 17.3%, vs 17.9% / 19.4% in Q3FY22 / Q4FY21 respectively and 29 bps below our estimates
- PAT came in at INR 6,375 Mn, +4.1% qoq / +16.8% yoy and 0.9% above our estimates
- EPS at INR 36.3 vs 35 / 31.2 in Q3FY22 / Q4FY21 respectively
- The company announced 4 large deal wins with Net New TCV of $80 Mn
- Recommended a final dividend of INR 30 per share

Concall KTAs

- Supply-side challenges and onsite attrition were challenging during the quarter
- Margin walk: 40 bps impact due to Employee Cost which was offset by SGA and balance 60 bps impact due to lower working days and business mix. Wage hike done on 1st April which is expected to impact margins to the tune of 290 bps in Q1FY23e itself.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	1,08,786	1,23,698	1,56,687	1,87,724	2,08,424
EBIT	17,562	23,926	27,036	33,523	37,454
Adjusted net profit	15,200	19,381	22,986	27,081	29,996
Free cash flow	17,217	35,072	26,655	36,277	35,081
EPS (Rs)	86.4	110.2	130.7	154.0	170.6
growth (%)	0%	28%	19%	18%	11%
P/E (x)	63.5	49.8	42.0	35.6	32.2
P/B (x)	17.8	13.2	10.8	9.1	7.7
EV/EBITDA (x)	47.3	35.1	31.1	25.7	22.7
Market Cap (INR Mn)	9,64,904	9,64,555	9,64,555	9,64,555	9,64,555
ROCE (%)	29.6	30.5	28.8	28.2	26.3
RoE (%)	29.5	30.5	28.4	27.9	26.0
Dividend yield (%)	0.5	0.6	0.6	0.9	0.9

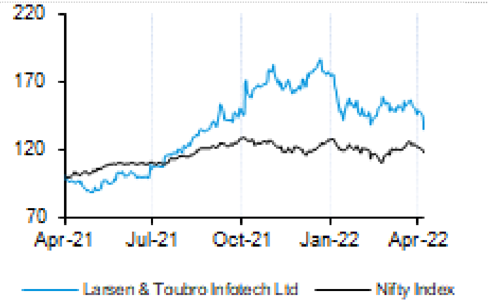
Source: Company

Rating	TP (Rs)	Up/Dn (%)
ACCUMLATE	**6,824**	**25**

Market data		
Current price	**Rs**	**5,472**
Market Cap (Rs.Bn)	(Rs Bn)	959
Market Cap (US$ Mn)	(US$ Mn)	12,577
Face Value	Rs	1
52 Weeks High/Low	Rs	7,595/ 3,517
Average Daily Volume	('000)	775
BSE Code		540005
Bloomberg		LTI.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	**Mar-22**	**Dec-21**
Promoters	74.05	74.07
Public	25.95	25.93
Total	**100**	**100**

Source: Bloomberg

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- Demand outlook is strong which is driven by customers' spend on business transformation initiatives and broad based across verticals, markets and service offerings.
- Deal wins: LTI has signed 4 net new large deal wins worth US$80mn+ in Q4FY22. 3 large deals were signed with existing F-500 clients (scope includes data and analytics) and one was with new logo (scope includes middleware transformation). 2 of these deals are in BFS, 1 in CPG and 1 with a Government body in Public Healthcare.
- Deal pipeline: Current large deal pipeline is US$2bn and 50% of the same is at late stage and 4 in the contracting stage. 40% of large deal wins are from new logos.
- FY23e outlook: LTI indicated that its FY23E US$ sales growth rate will be in the leaders' quadrant on the back of strong momentum in large deals, highest addition of new logos, headcounts and healthy deal pipeline
- Management sounded cautious regarding impact of higher inflation globally and geopolitical concerns, however it indicated that it has not witnessed any impact on demand.

Vertical highlights

- BFS: Segment grew 3.3% sequentially in CC terms (two large deal wins in 4Q). Witnessed strong momentum across markets and service lines in the segment and is optimistic for growth in the vertical entering FY23E.
- Insurance: Segment grew 3.8% sequentially in CC terms. LTI believes that traction in opening new accounts will drive growth ahead in the vertical.
- Manufacturing: Segment grew by 2.3% sequentially in CC terms. Growth was led by ramp-up of new account openings and mining of existing accounts as per LTI.
- Energy & Utilities (E&U): Segment grew 4.1% sequentially in CC terms.
- CPG, Retail & Pharma: Segment grew 7.7% sequentially in CC terms. Growth was driven by strong demand in existing accounts.
- Hi-Tech, Media & Entertainment: Segment grew 2.2% sequentially in CC terms. Growth was aided by ramp-up of recently won large deals in the segment.
- Others: Segment, which includes Government & Defense business and Professional services, grew 3.3% sequentially in CC terms.

Other updates

- Employee count increased by 2,448 qoq to 46,648 employees. Attrition (LTM) further increased to 24.0% vs. 22.5%/12.3% qoq/yoy. LTI has witnessed reduction in quarterly annualized attrition in Q4 worth 200bps vs. Q3 however it is expecting another two quarters before attrition stabilizes. It has hired

5,200 freshers in FY22 and plans to hire more than 6,500 freshers in FY23E. It has rolled out wage hikes to majority of employees effective Apr'22.

- Organic capex for FY22 stood at Rs.8.59bn vs. Rs.2.72bn in FY21. Higher capex was on account of investment in purchasing premises having capacity of 7,500 people at New Mumbai location.
- CFO stood at INR 6,233 Mn for Q4FY22
- Cash & Cash Equivalents stood at INR 39,139 Mn

Segmental-wise Performance

Vertical-wise revenue contribution (%)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
BFS	27.7%	29.9%	30.6%	30.7%	32.1%	32.5%	32.8%	32.7%
Insurance	17.2%	16.0%	15.0%	14.5%	14.5%	14.2%	13.3%	13.4%
Manufacturing	15.8%	16.2%	16.8%	16.9%	15.0%	15.6%	17.0%	16.8%
Energy & Utilities	10.8%	10.6%	10.0%	9.1%	9.1%	8.9%	8.8%	8.8%
CPG, Retail & Pharma	11.5%	11.0%	10.9%	10.8%	10.7%	10.1%	10.0%	10.3%
High-Tech, Media & Entertainment	11.6%	10.6%	10.6%	11.8%	12.7%	12.5%	11.8%	11.7%
Others	5.4%	5.7%	6.0%	6.2%	5.9%	6.2%	6.4%	6.3%

Vertical wise Growth (%)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
BFS	108	121	131	137	151	165	181	187
Q-o-Q (%)	-4.4%	11.9%	8.2%	4.9%	9.9%	9.6%	9.6%	2.8%
Y-o-Y (%)	9.5%	22.7%	19.4%	21.4%	39.6%	36.8%	38.6%	35.8%
Insurance	67	65	64	65	68	72	74	76
Q-o-Q (%)	-2.5%	-3.6%	-0.8%	1.1%	5.1%	6.0%	1.8%	3.9%
Y-o-Y (%)	4.0%	-4.9%	-8.1%	-5.8%	1.6%	11.7%	14.6%	17.8%
Manufacturing	62	66	72	76	71	79	94	96
Q-o-Q (%)	-16.4%	6.3%	9.7%	5.2%	-6.7%	12.6%	18.4%	1.9%
Y-o-Y (%)	13.8%	9.8%	4.1%	2.5%	14.4%	21.2%	30.8%	26.7%
Energy & Utilities	42	43	43	41	43	45	49	50
Q-o-Q (%)	-9.8%	1.7%	-0.2%	-4.8%	5.1%	5.9%	7.4%	3.1%
Y-o-Y (%)	10.5%	-2.6%	-4.0%	-12.9%	1.5%	5.7%	13.8%	23.3%
CPG, Retail & Pharma	45	44	47	48	50	51	55	59
Q-o-Q (%)	-2.2%	-0.9%	4.8%	3.6%	4.1%	2.2%	7.6%	6.2%
Y-o-Y (%)	13.4%	6.4%	5.6%	5.3%	12.1%	15.5%	18.6%	21.6%
High-Tech, Media & Entertainment	45	43	45	53	60	64	65	67
Q-o-Q (%)	0.4%	-5.3%	5.8%	16.4%	13.1%	6.5%	2.6%	2.3%
Y-o-Y (%)	1.6%	9.1%	6.5%	17.1%	31.9%	48.4%	43.9%	26.4%
Others	21	23	26	28	28	32	35	36
Q-o-Q (%)	28.5%	9.4%	11.3%	8.1%	0.0%	13.8%	12.1%	1.5%
Y-o-Y (%)	28.5%	81.1%	75.9%	69.2%	31.6%	36.9%	37.9%	29.5%

Sequential growth was led by CPG, Retail & Pharma at 6.2% qoq, followed by Insurance at 3.9% qoq and Energy & Utilities at 3.1% qoq

Service Offering (%)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
Application Development Maintenance	35.6%	36.0%	33.6%	33.3%	34.0%	34.2%	33.5%	33.0%
Enterprise Solutions	29.7%	30.8%	31.4%	32.3%	30.7%	30.4%	31.4%	30.8%
Infrastructure Management Services	13.6%	14.4%	14.3%	15.1%	14.9%	14.0%	13.2%	13.7%
Analytics, AI & Cognitive	12.5%	10.6%	11.9%	11.1%	11.7%	12.1%	12.7%	12.8%
Enterprise Integration & Mobility	8.6%	8.3%	8.8%	8.2%	8.7%	9.3%	9.3%	9.7%

Service Offering Trends	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
ADAM	139	146	144	149	160	174	185	188
Q-o-Q (%)	-2.3%	4.8%	-1.3%	3.6%	7.3%	8.9%	6.4%	1.6%
Y-o-Y (%)	2.3%	10.9%	1.8%	4.7%	15.1%	19.5%	28.9%	26.3%
Enterprise Solutions	116	125	134	145	144	155	174	176
Q-o-Q (%)	-5.7%	7.5%	7.8%	7.6%	-0.1%	7.2%	12.2%	1.2%
Y-o-Y (%)	14.5%	16.1%	18.7%	17.5%	24.5%	24.2%	29.3%	21.6%
IMS	53	58	61	68	70	71	73	78
Q-o-Q (%)	2.8%	9.7%	5.0%	10.4%	3.7%	1.7%	2.4%	7.1%
Y-o-Y (%)	36.6%	44.2%	34.9%	30.8%	32.0%	22.3%	19.3%	15.7%
Analytics, AI & Cognitive	49	43	51	50	55	62	70	73
Q-o-Q (%)	2.6%	-12.1%	18.7%	-2.4%	10.8%	12.0%	14.0%	4.0%
Y-o-Y (%)	22.2%	4.3%	0.8%	4.4%	12.8%	43.6%	38.0%	47.0%
Enterprise Integration & Mobility	34	34	38	37	41	47	51	55
Q-o-Q (%)	-5.9%	0.0%	12.1%	-2.5%	11.5%	15.7%	8.6%	7.6%
Y-o-Y (%)	14.8%	2.5%	12.3%	2.9%	21.9%	41.0%	36.6%	50.8%

Services-wise Enterprise Integration and Mobility led the growth at 7.6% qoq followed by IMS at 7.1% qoq and Analytics, AI and Cognitive at 4% qoq

Quarterly Financials

Consolidated financial results							
INR mn	Q4FY22	Q4FY21	YoY Growth	Q3FY22	QoQ Growth	Q4FY22E	Deviation
Revenue (US$)	**570**	**447**	**27.5%**	**553**	**3.1%**	**578**	**-1%**
Revenue (INR)	**43,016**	**32,694**	**31.6%**	**41,376**	**4.0%**	**43,095**	**0%**
Direct costs	30,111	22,233	35.4%	28,547	5.5%	29,813	1%
Gross profit	12,905	10,461	23.4%	12,829	0.6%	13,283	-3%
S,G&A	4,441	3,306	34.3%	4,518	-1.7%	4,848	-8%
Total expenses	34,552	25,539	35.3%	33,065	4.5%	34,661	0%
EBITDA	**8,464**	**7,155**	**18.3%**	**8,311**	**1.8%**	**8,434**	**0%**
D&A	1,019	826	23.4%	885	15.1%	850	20%
EBIT	**7,445**	**6,329**	**17.6%**	**7,426**	**0.3%**	**7,584**	**-2%**
Other income	1,340	1,030	30.1%	999	34.1%	1,081	24%
Net profit before tax and exceptional items	**8,596**	**7,168**	**19.9%**	**8,237**	**4.4%**	**8,496**	**1%**
Provision for tax on above	2,221	1,711	29.8%	2,112	5.2%	2,179	2%
Net profit pre-exceptionals	6,375	5,457	16.8%	6,125	4.1%	6,317	1%
Reported net profit	**6,375**	**5,457**	**16.8%**	**6,125**	**4.1%**	**6,317**	**1%**
Margins (%)							
Gross margins	30.0%	32.0%	-200	31.0%	-101	30.8%	-82
EBITDA margin	**19.7%**	**21.9%**	**-221**	**20.1%**	-41	**19.6%**	**10**
PAT margin	14.8%	16.7%	-187	14.8%	2	14.7%	16

Source: Dalal & Broacha Research, Company

Margin walk: 40 bps impact due to Employee Cost which was offset by SGA and balance 60 bps impact due to lower working days and business mix. Wage hike done on 1st April which is expected to impact margins to the tune of 290 bps in Q1FY23e itself

Valuation & Outlook

As per our revised estimates, LTI is trading at 35.6x / 32.2x FY23e / FY24e EPS. Management has indicated that demand environment remains strong and LTI will deliver growth in the leader's quadrant on the back of strong deal wins, healthy pipeline and new logo additions. However, revenue growth momentum seems to have slowed down on the as witnessed by 6 quarter low average growth rate and also due to base effect of FY22.

Therefore, we downgrade our rating from **BUY to ACCUMULATE and our Target Price to 6,824** (INR 7,905 earlier) based on 40x FY24e (45x FY24e earlier).

We continue to believe in the multiyear technology transformation unfolding and the healthy demand environment therein, however, we rationalize our view based on moderated growth momentum vis-à-vis earlier.

Financials

P&L Statement					
INR mn	**FY20**	**FY21**	**FY22E**	**FY23E**	**FY24E**
Revenue	**1,08,786**	**1,23,698**	**1,56,687**	**1,87,724**	**2,08,424**
Growth (%)	*15%*	*14%*	*27%*	*20%*	*11%*
Gross Profit	35,197	41,505	48,120	58,967	66,429
EBITDA	**20,292**	**27,251**	**30,585**	**36,883**	**41,418**
EBITDA Margin (%)	*18.7%*	*22.0%*	*19.5%*	*19.6%*	*19.9%*
Depreciation	2,730	3,325	3,549	3,360	3,964
EBIT	**17,562**	**23,926**	**27,036**	**33,523**	**37,454**
EBIT Margin (%)	*16.1%*	*19.3%*	*17.3%*	*17.9%*	*18.0%*
Other Income	3,289	2,743	4,667	3,674	3,674
Exceptional items	0	0	0	0	0
PBT	20,025	25,881	30,975	36,516	40,447
Reported PAT	**15,200**	**19,381**	**22,986**	**27,081**	**29,996**
Adj PAT	**15,200**	**19,381**	**22,986**	**27,081**	**29,996**
PAT Margin (%)	*14%*	*16%*	*15%*	*14%*	*14%*
EPS (Rs.)	**86.4**	**110.2**	**130.7**	**154.0**	**170.6**
EPS Growth (%)	*0%*	*28%*	*19%*	*18%*	*11%*

Balance Sheet					
INR Mn	**FY20**	**FY21**	**FY22E**	**FY23E**	**FY24E**
Share capital	174	174	174	174	174
Reserves and surplus	53,866	72,859	88,556	1,05,225	1,24,809
Net Worth	**54,040**	**73,033**	**88,730**	**1,05,399**	**1,24,983**
Non Current Liabilities					
Deferred Tax liabilities	101	35	35	35	35
Total debt	3,204	859	859	859	859
Current Liabilities					
Trade payables	6,950	8,277	6,564	7,852	8,693
Total Networth and Liabilities	**88249**	**103902**	**119116**	**137073**	**157499**
Assets					
Non Current Assets					
Net fixed assets	4031	2700	523	-331	-574
Intangible Assets	7474	8961	11848	14974	17506
Investments	23757	40405	36821	44115	48980
Deferred tax assets	3039	1476	1476	1476	1476
Current Assets					
Cash and bank balances	5252	5583	12351	14326	23257
Loans & advances	12731	16602	16602	16602	16602
Trade Recievables	23121	20835	30050	36002	39972
Total assets	**88249**	**103902**	**119116**	**137073**	**157499**

Cash Flow Statement					
INR Mn	**FY20**	**FY21**	**FY22E**	**FY22E**	**FY22E**
PAT	**15200**	**19381**	**22986**	**27081**	**29996**
Less: Non Operating Income	-3289	-2743	-4667	-3674	-3674
Add: Depreciation	2730	3325	3549	3360	3964
Operating Profit before WC Changes	**15467**	**20751**	**22596**	**27449**	**30969**
(Inc)/Dec in Current Assets	-10487	-15681	-2703	-11849	-7903
Inc/(Dec) in Current Liabilities	5621	-143	-1713	1288	841
Net Cash From Operations	**10601**	**4927**	**18180**	**16887**	**23907**
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-3709	-1994	-1372	-2506	-3721
(Inc)/Dec in Investment (Strategic)	1060	-2449	-2928	-1397	-931
Add: Non Operating Income Income	3,289	2,743	4,667	3,674	3,674
Cash From Investing Activities	**-1,064**	**-3,257**	**-2,520**	**-3,354**	**-3,510**
Cash Flow from Financing Activities					
Dividend Paid	-4864	-5592	-6125	-8750	-8750
Tax Paid on Dividend	-815	-671	-1164	-1663	-1663
Net Cash from Financing Activities	**-9545**	**-1606**	**-8017**	**-11094**	**-11094**
Opening Balance	**4150**	**5252**	**5583**	**12351**	**14326**
Closing Cash Balance	**4142**	**5316**	**13226**	**14791**	**23630**

INR Mn	Free Cash Flow Statement FY20	FY21	FY22E	FY23E	FY24E
EBITDA	20,292	27,251	30,585	36,883	41,418
FC Investment	-3709	-1994	-1372	-2506	-3721
WC Changes	-4866	-15824	-4416	-10562	-7061
Depreciation Tax Shield	658	835	915	868	1024
Tax Expenses	4889	6844	7888	9530	10701
FCF	**17217**	**35072**	**26655**	**36277**	**35081**

	Ratio Analysis FY20	FY21	FY22E	FY22E	FY22E
Margin ratios					
Gross	32.4%	33.6%	30.7%	31.4%	31.9%
EBITDA	18.7%	22.0%	19.5%	19.6%	19.9%
Adj PAT	14.0%	15.7%	14.7%	14.4%	14.4%
Performance ratios					
Pre-tax OCF/EBITDA	101.3%	107.5%	74.2%	93.3%	97.8%
RoE (%)	29.5%	30.5%	28.4%	27.9%	26.0%
ROCE (%)	29.6%	30.5%	28.8%	28.2%	26.3%
RoCE (Pre-tax)	38.9%	40.7%	38.8%	38.0%	35.4%
RoIC (Pre-tax)	34.0%	35.2%	35.2%	36.6%	36.7%
Return on Total Assets	19.9%	23.0%	22.7%	24.5%	23.8%
Fixed asset turnover (x)	30.7	36.8	97.2	1,953.6	-460.5
Total asset turnover (x)	1.4	1.3	1.4	1.5	1.4
Valuation metrics					
Fully Diluted Shares (mn)	176	176	176	176	176
Market cap (Rs.mn)	9,64,904	9,64,555	9,64,555	9,64,555	9,64,555
P/E (x)	63.5	49.8	42.0	35.6	32.2
EV (Rs.mn)	9,59,780	9,57,104	9,50,336	9,48,361	9,39,429
EV/ EBITDA (x)	47.3	35.1	31.1	25.7	22.7
FCF Yield	1.5%	1.9%	0.8%	2.4%	3.0%
P/BV (x)	17.8	13.2	10.8	9.1	7.7
Dividend pay-out (%)	37.4%	32.3%	31.7%	38.4%	34.7%
Dividend yield (%)	0.5%	0.6%	0.6%	0.9%	0.9%

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